

Average rise. The average rise shown in the table is a bit shy of the 42.4% gain for all chart pattern types. I guess you could say this pattern is an average performer.

However, don't think that you'll be able to make 42% from your trade. The number in the table is an average of hundreds of *perfect* trades. That means buying at the breakout price and selling at the ultimate high. You might be able to do that once or twice in real life (I have), but not hundreds of times.

If you place a stop-loss order too close and get stopped out of a promising trade, then you're watching from the sidelines as the stock doubles.

It can go the other way, too. Buy a stock just before the company announces an earnings shortfall and the stock opens 35% lower, handing you a loss that stings.

Table 28.2 General Statistics

Description	Bull Market
Number found	759
Reversal (R), continuation (C) occurrence	100% R
Average rise	42%
Standard & Poor's 500 change	13%
Days to ultimate high	227
How many change trend?	59%

Standard & Poor's 500 change. The S&P 500 index showed an average rise of 13%, helping to lift the stocks I studied. The sample times were measured from the dates of the breakout and ultimate high of the chart pattern, applied to the index.

Days to ultimate high. A 42% average rise can take a long time to achieve (or not. I traded Consecro—now called CNO Financial Group—in 2009, which doubled in a week). The average time to reach peak performance is just over 7 months. That means traders need to be patient while the stock struggles to achieve its potential. I suppose it's like watching your kids grow up. They can show promise but stumble along the way.